



Executive Summary: Customer Churn Analysis

1. Overall Churn Rate

- Approximately **26.5% of total customers have churned**, meaning **about 1 in every 4 customers leaves the service**.
- This is a considerable retention issue and signals the need for proactive measures.

2. Demographic Insights (Senior Citizens)

- **41.7% of senior citizens churned**, compared to **23.6% of non-senior citizens**.
- This suggests that **senior citizens are nearly twice as likely to churn** as younger customers.
- Possible reasons: difficulty with technology, lack of perceived value, or cost sensitivity.

3. Tenure & Churn Behavior

- Customers with **short tenures (less than 12 months)** show the **highest churn rates**, whereas those with **longer tenure (3+ years)** churn significantly less.
- This indicates that **retention is weakest in the first year**, but once customers stay beyond the initial phase, loyalty improves.

4. Contract Type & Retention

- **Month-to-month contracts** have the **highest churn rate (42%)**.
- In contrast, **one-year contracts churn at 11%**, and **two-year contracts at only 3%**.
- Clearly, **long-term contracts drastically reduce churn**. Offering discounts, promotions, or loyalty perks for longer commitments could be highly effective.

5. Impact of Services & Add-ons

- Customers **without Online Security or Tech Support** churn at a **rate above 40%**, compared to **less than 20% churn** among those who subscribe to these services.
- Similarly, services like **Device Protection and Online Backup** also contribute to **lower churn rates**.
- This shows that **value-added services directly improve customer stickiness**.

6. Payment Method & Churn

- Customers paying via **Electronic Check** show the **highest churn (34%)**, much higher than:
 - **Mailed Checks (15%)**
 - **Credit Card Auto-pay (11%)**
 - **Bank Transfer Auto-pay (10%)**
- Customers using auto-pay methods are the **least likely to churn**, suggesting that promoting **automatic recurring payments** could reduce attrition.

Key Recommendations

1. **Target Senior Citizens**

- Provide simplified service options, better customer support, and loyalty programs tailored to their needs.

2. **Focus on Early Tenure Customers**

- Improve onboarding, offer first-year discounts, and strengthen engagement during the first 6–12 months.

3. **Promote Long-term Contracts**

- Incentivize one- and two-year contracts through discounts, rewards, or bundled packages.

4. **Cross-sell Value-added Services**

- Encourage customers to adopt **online security, backup, and tech support services**, which lower churn by over **20 percentage points**.

5. **Encourage Auto-payments**

- Shift customers from electronic checks to **credit card/bank transfer auto-pay**, reducing churn by up to **24 percentage points**.

★ This summary not only explains the trends but also quantifies the **risk areas** and shows **where improvements can bring the highest impact**.